Chapter 3 reviews the second and third phases, which include Indian-sponsored terrorism in Pakistan and the spread of sectarianism and sectarian terrorism. On the one hand, India carried out bomb blasts in various cities of Pakistan in retaliation to the alleged involvement of Pakistani agencies in fomenting unrest in Indian-held Kashmir and East Punjab (Indian) where Sikh struggle for a separate homeland, Khalistan, had taken a serious turn. On the other hand, the sectarian violence also became too rampant and destructive. The Sunni sectarian party Sipah-e-Sahaba Pakistan (SSP – the Army of the Friends of the Prophet) and the Shi'a party Sipah-e-Muhammad Pakistan (SMP – the Army of the Prophet Muhammad) resorted to targeted killing of each other's leaders and activists, as well as attacking the seminaries and mosques.

In addition to these aspects of violence and militancy in Pakistan, this chapter discusses the diversionary sources of violence such as unrest in Balochistan, the Muhajir Qaumi Movement (MQM)-related violence in Karachi and the spell of Indian-sponsored sabotage and terrorism, which were not directly linked with Islamist militancy, but exasperated the overall unruly situation.

The main objective of this chapter is to provide an in-depth insight into the birth, growth and activities of terrorism in Pakistan, especially that of the TTP and its impact on the country.

Chapter 4 addresses the rise of militancy after 2001. It narrates the factors that contributed to spurring the insurgency and terrorism in a new form. Furthermore, it discusses the role of Al Qaeda in Pakistan as well as the Afghan Taliban and the nature of both their activities and nexus. It can be seen that after the 2001 US attack on Al Qaeda's hosts and hideouts in Afghanistan, its leaders and activists migrated to Pakistan, which gave birth to the TTP. Al Qaeda militants sneaked into Pakistan through the porous Pak-Afghan border and sheltered in its tribal areas (Khan, 2011). The US raised a call that FATA had become 'a key centre for planning and preparing operations to attack the US as well as its allies and friends' (*Studies in Conflict & Terrorism*, 2008). The main leaders of Al Qaeda settled in the remote areas of Waziristan with the help of local groups. However, under the pressure of Pakistan Army operations, a large number of Al Qaeda leaders and activists relocated to the urban areas of Pakistan. Pakistan's intelligence agencies soon tracked and arrested them in urban centres, and therefore they had to flee to the safe haven of Waziristan. In Waziristan, the relentless US drone attacks